

Contestant Number: _____

Time: _____

Rank: _____



PAYROLL ACCOUNTING (125)

—Secondary—

STATE – 2020

Multiple Choice & Short Answer Section:

Multiple Choice (15 @ 2 points each) _____ (30 points)

Matching (8 @ 2 points each) _____ (16 points)

Short Answer (17 @ 2 points each) _____ (34 points)

Production Portion:

Job 1: Calculating Payroll (46 @ 1 point each) _____ (46 points)

Job 2: Payment of Payroll (12 @ 2 point each) _____ (24 points)

TOTAL POINTS _____ ***(150 points)***

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

No more than ten (10) minutes orientation

No more than 60 minutes testing time

No more than ten (10) minutes wrap-up

Property of Business Professionals of America.

May be reproduced only for use in the Business Professionals of America

Workplace Skills Assessment Program competition.

General Instructions

You have been hired as a Payroll Clerk and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

Your name and/or school name should NOT appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals
- Assume employees earn overtime at a rate of 1.5 times their pay for any hours worked over 40 in a week unless otherwise instructed
- All time calculations are rounded to the nearest quarter hour
- Use 6.2% for Social Security Tax on the first \$118,500 in wages
- Use 1.45% for Medicare Tax for all wages
- Use 5.4% for State Unemployment Tax and 0.8% (\$7,000 ceiling) for Federal Unemployment Tax
- Assume that no employee has accumulated earnings in excess of the social security tax, SUTA, or FUTA base unless otherwise indicated.

Multiple Choice

Identify the letter of the choice that best completes the statement or answers the question.

1. Natalie's salary for the year is \$69,430. What is Natalie's salary per pay period if she is paid bi-weekly?
 - a. \$2,670.38
 - b. \$2,892.92
 - c. \$2,760.38
 - d. \$3,215.25
2. When supplemental wages are paid at the same time as regular wages, how are withholding taxes computed?
 - a. withholding on supplemental wages is taxed separately
 - b. withholding taxes are based on the total of the wages and supplemental wages
 - c. supplemental wages are not subject to withholding taxes
 - d. supplemental wages are taxed at a different withholding rate
3. The Salaries Expense account is debited for _____.
 - a. net earnings
 - b. gross earnings
 - c. monthly earnings
 - d. accumulated earnings
4. An employee who clocked in to work at 8:02 AM and clocks out at 7:04 PM and is not paid for their half hour lunch works how many hours?
 - a. 10 $\frac{1}{2}$ hours
 - b. 11 $\frac{1}{2}$ hours
 - c. 10 $\frac{3}{4}$ hours
 - d. 10 hours
5. Employees that are paid per day are paid on a _____.
 - a. bonus plan
 - b. commission plan
 - c. piece-rate plan
 - d. per diem basis
6. The correct entry to record a payment of the employer's share of FICA tax is:
 - a. Debit social security and Medicare tax expenses, credit cash
 - b. Debit tax withheld, credit salary expense
 - c. Debit cash, credit payroll tax expense
 - d. Debit salary expense, credit tax withheld
7. The U.S. minimum wage is \$7.25; if your state's minimum wage is \$8.00, which rate to you have to follow?
 - a. \$7.25
 - b. \$8.00
 - c. It depends on which state you live in
 - d. The choice is left to each separate business

8. The final due date for the second quarter Form 941, assuming that the employer paid all taxes on time is
 - a. July 10.
 - b. June 30.
 - c. July 31.
 - d. August 10.
9. Out of the following employees, who would have the highest amount of federal income tax withheld?
 - a. Married, 3 exemptions
 - b. Single, 2 exemptions
 - c. Married, 0 exemptions
 - d. Single, 0 exemptions
10. For IRS purposes, the payroll register should be retained for a period of not less than
 - a. 2 years
 - b. 3 years
 - c. 4 years
 - d. 7 years
11. The accumulated earnings column on the Employee's Earnings Record is
 - a. employee's gross earnings to date.
 - b. employee's net pay to date.
 - c. employee's gross earnings for the pay period.
 - d. employee's net earnings for the pay period.
12. A cost paid by the employer that is 0.8% of each employee's first \$7,000 of annual salary or wages is
 - a. State tax.
 - b. Social Security tax.
 - c. Medicare tax.
 - d. Federal Unemployment tax.
13. Employee's regular weekly salary is \$950. Employee is scheduled to work 37 hours per week. Under the FLSA, how much would this employee be paid for each hour in excess of 37 but less than 40 in the workweek?
 - a. \$23.75
 - b. \$25.67
 - c. \$35.65
 - d. \$0.0
14. In the first monthly accounting period of a company's fiscal year, which of the following occurs?
 - a. Asset and liability accounts reflect prior year ending balances
 - b. All liability accounts are reset to zero balances
 - c. Asset account balances are reclassified
 - d. Unpaid debts are 'forgiven'

15. The act that allows an employee to take time off (unpaid) for a medical or family emergency is
- USERRA.
 - FMLA.
 - ADA.
 - ERISA.

MATCHING: Match the correct form to its definition. Write your answer in the blank provided.

Form		Definition	Answer
A	W-3	1. Form that accompanies payment of unemployment tax deposits	_____
B	1099-MISC	2. Form that reports the previous year's earnings for all employees	_____
C	W-4	3. Form sent to each employee stating their earnings and taxes paid the previous year	_____
D	8109-B	4. Form used to report quarterly payroll Federal Tax returns	_____
E	941	5. Form sent from bank showing the amount of interest earned the previous year	_____
F	1099-INT	6. Form sent to non-employees for income they earned the previous year from the company	_____
G	W-2	7. Form filled out by employee stating the withholdings for federal and state taxes	_____
H	I-9	8. Form filled out by employee stating they have the legal right to work in the United States	_____

SHORT ANSWERS: Solve the following problems and write the answer in the blank provided.

1. Robert works as a salesperson at a local retail store. He makes \$350 per week and is paid 14% commission on any sales he makes over \$1,000 per week. During the month Robert had \$1,800 in sales week one, \$1,400 during week two, \$1,770 during week three, and \$1,550 during week four. What are Robert's gross earnings for the month?

\$_____

2. Handy Construction estimates that its laborers will collectively earn \$1,800,000 next year and its skilled workers will earn \$5,250,000. The firm pays the following rates for workers' compensation insurance: \$.84 per \$100 wages for the laborers and \$1.52 per \$100 of wages for its skilled workers. Compute the estimated premiums for the laborers and skilled workers.

Laborers _____

Skilled Workers _____

3. Danielle is a salaried employee with an agreement with her employer that she will get paid \$2,150 biweekly for a 35-hour work week. She also gets paid overtime for any hours worked over 40 hours per week, but nothing for the hours worked between 35 and 40 hours. If Danielle works 46 hours and 41 hours respectively for the biweekly pay period, answer the following questions regarding this pay period.

Regular biweekly pay	\$ _____
Hourly Rate	\$ _____
Overtime Rate	\$ _____
Overtime Earnings	\$ _____
Total Earnings	\$ _____

4. Johnny received his paycheck and was surprised that it was not the amount that he thought it would be. He worked 29 hours this past week and is paid \$11.50 per hour. He is exempt from paying federal and state income taxes but must pay social security and Medicare tax. Calculate his gross pay, social security tax, Medicare tax, and net pay.

Gross Pay	_____
Social Security Tax	_____
Medicare Tax	_____
Net Pay	_____

5. Christine has been offered a new job that pays her \$62,450 with these benefits: \$4,800 in pension contributions, \$1,800 in paid vacation time, \$600 in free parking, \$2,580 in paid holidays, \$800 in equipment, and \$2,400 in health insurance. Christine's job expenses for the new job total \$3,250. What is Christine's net job benefits?

\$ _____

6. Ricardo Diaz works two part-time jobs. At the first job he makes \$23,800 yearly. At the second job he makes \$12,400. How much will Ricardo pay into Social Security and Medicare for the year?

Social Security	_____
Medicare	_____

7. James Dean and 35 other employees work at a company with a profit-sharing plan. All employees share 14.75% of the company's annual profits. This year the company had an annual profit of \$684,000.

How much will go into the profit-sharing fund? _____

How much will each employee receive from the fund? _____

JOB 1: CALCULATING PAYROLL

For each of these piece-rate employees at Bluejay Industries, find the total pieces produced and the gross pay for the week ending February 14, 2020.

NAME	M	T	W	TH	F	Total Pieces	Rate per piece	Gross Pay
Perez, E.	59	61	68	65	60		\$1.80	
West, R.	26	24	29	35	32		\$2.15	
Cannon, A.	64	61	60	60	55		\$1.75	
Pearson, G.	67	61	57	56	56		\$1.20	
Pettyjohn, A.	50	60	64	60	60		\$1.50	

Using the information you found on these five employees, complete the following payroll register. For the Federal Income tax, use 8% of their gross pay. They live in a state with no state income tax. Fill in the remaining amounts to determine their net pay.

NAME	Total Earnings	Fed Inc Tax	Social Security	Medicare	Total Deductions	Net Pay
Perez, E.						
West, R.						
Cannon, A.						
Pearson, G.						
Pettyjohn, A.						
TOTALS						

Using the information from Job 1 and the general journal below journalize the payment of payroll for the pay period. Check No. 684.

[illegible]